Linley Cost Consultants
Quantity surveying and cost management

Initial Quantity Surveyor Report
Elan West BTR, Westmead

Review of project budget, construction contract, contingency and programme for a proposed A$

Prepared for Quillwood Credit Partners
Prepared by Linley Cost Consultants
Version 1.0, 15 August 2025
Reference: LCC-QCP-2025-0815-01
Date: 15 August 2025

Synthetic - for demonstration. All names, entities and figures are fictional.
Confidential. Prepared for the addressee only and not to be relied on by any other party.

Borrower	Elan West BTR Pty Ltd
ABN	46 975 038 650
Sponsor	Elan Living Group Pty Ltd (trading as Elan Living)
Property	Elan West, 41 Darcy Road, Westmead NSW 2145
Proposed facility	A$74.0M senior secured stabilised investment facility, interest only, 36 months
Prepared for	Quillwood Credit Partners
Prepared by	Linley Cost Consultants
Date and version	15 August 2025, Version 1.0 (initial report)

Report details

1. Executive summary

Quillwood Credit Partners has asked Linley Cost Consultants to review the delivered cost, construction contract, contingency use and programme for Elan West, a completed 188 apartment build-to-rent building. The proposed facility of A$74.0M would refinance the existing construction-to-term facility of A$72.4M and fund A$1.6M of establishment fees, transaction costs and hedging set-up. Because the building is complete and trading, this report is a retrospective review of outturn rather than a drawdown monitoring report.

Our principal conclusions are as follows.

- Total development cost (TDC) is reported at A$101.5M, including land at A$38.5M. The original approved budget was also A$101.5M, so the project closed on budget in aggregate.
- Line item overruns of A$1.9M were absorbed by the A$2.2M contingency. A residual A$0.3M is held for defects and final account items.
- The lump sum design and construct contract sum of A$44.0M increased by net variations of A$1.2M (2.7%) to a final account of A$45.2M.
- Practical completion was achieved on 21 August 2023, 21 days after the extended date of 31 July 2023. Liquidated damages for that period are to be evidenced.
- The defects liability period under the contract ends on 21 August 2025. A final defects certificate and release of security have not yet been sighted.
- We identify no cost to complete. Residual construction risk is limited to defects, statutory warranty matters and the lifecycle capital expenditure profile.

On the information provided, we consider the delivered cost reasonable for the product and location. We recommend the conditions in Section 9 before settlement.

2. Scope, basis and sources

We inspected the common areas, a sample of apartments, the retail tenancy and the basement car park on 7 August 2025. The inspection was visual and non-intrusive. We have not tested services or structure and have not verified quantities.

We relied on the Information Memorandum dated 4 August 2025 and on documents provided through the sponsor and its advisers. These were the final cost report prepared by the sponsor's project quantity surveyor, Brannigan Tait Quantity Surveyors Pty Ltd, the contract, variation and extension of time registers, payment claim summaries, the occupation certificate and the defects register. The independent valuation by Halvorsen Pryce Valuers Pty Ltd is dated 22 August 2025 and was not available when this report was prepared. Audited financial statements and management accounts are also outstanding. Findings that depend on those documents are marked as such.

3. Project and contract

Elan West BTR Pty Ltd settled the site for A$38.5M on 15 November 2019. The Sydney Central City Planning Panel granted development consent on 10 December 2020 for a 188 apartment residential flat building with ground floor retail. Construction began on 6 April 2021 under a lump sum design and construct contract.

The building has about 15,400 sqm of gross floor area and 11,812 sqm of net lettable residential area, a net to gross efficiency of 76.7%. The mix is 24 studios, 78 one bedroom, 72 two bedroom and 14 three bedroom apartments, with amenity space, retail and basement parking.

A lump sum design and construct structure placed design development and coordination risk on the contractor. That is appropriate for a residential building of this scale. The net variations of A$1.2M were made up as follows.

- Client initiated changes to amenity spaces and apartment finishes: A$0.6M.
- Latent conditions in the basement excavation: A$0.4M.
- Delay related costs recognised with the extension of time: A$0.2M.

Variations of 2.7% of contract sum are moderate for a basement project. The latent conditions item is consistent with the geology of the area. We have not yet seen the executed deed of final settlement, so the final account of A$45.2M is treated as agreed but unconfirmed.

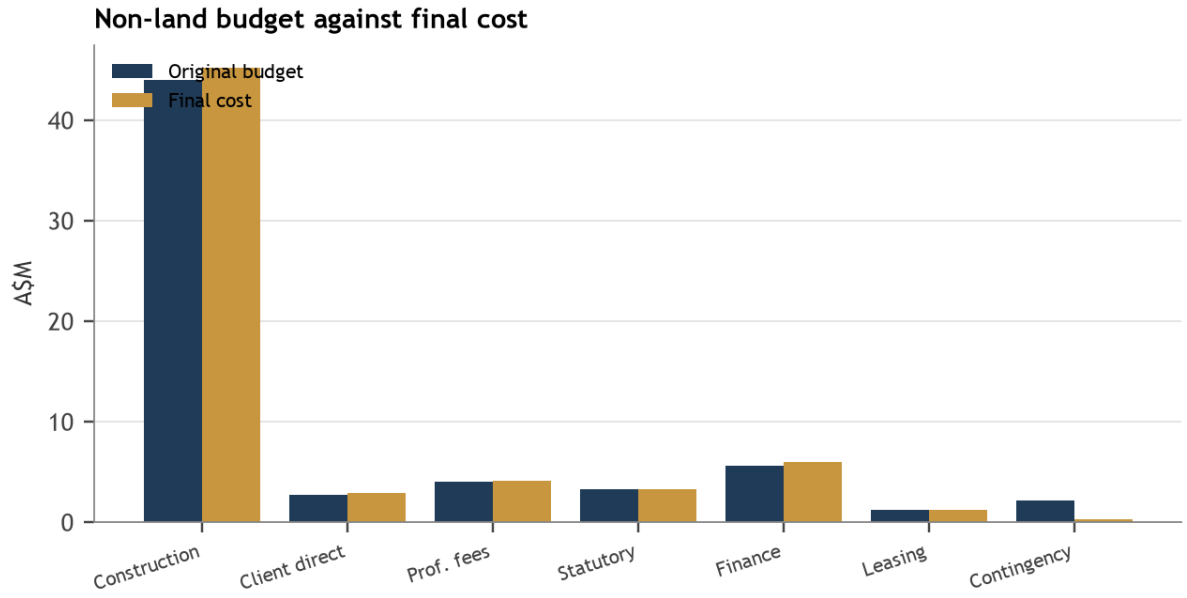
Contract security was held as bank guarantees of A$1.1M, being 2.5% of the original contract sum. Their release at the end of the defects liability period should follow a final defects certificate and not occur automatically.

4. Budget and final cost

The table compares the original approved budget with the reported final cost. All figures are from the project quantity surveyor's final cost report and are subject to the confirmations in Section 9.

Item	Original budget A$M	Final cost A$M	Variance A$M
Land	38.5	38.5	0.0
Construction contract	44.0	45.2	+1.2
Client direct works and FF&E	2.7	2.9	+0.2
Professional fees	4.0	4.1	+0.1
Statutory fees and contributions	3.3	3.3	0.0
Finance and holding costs	5.6	6.0	+0.4
Leasing and pre-opening	1.2	1.2	0.0
Contingency / residual allowance	2.2	0.3	-1.9
Total development cost	**101.5**	**101.5**	**0.0**

Original budget against final cost



Non-land cost lines, original budget and final cost

Construction cost of A$45.2M equates to about A$2,935 per sqm of gross floor area and about A$240,400 per apartment. TDC of A$101.5M equates to about A$540,000 per apartment and about A$8,590 per sqm of net lettable area. We consider the construction rate reasonable for a mid-rise apartment building with basement parking in Sydney. We have not prepared an independent cost plan, and a rate comparison against current tenders would be needed for any reinstatement view.

The as-stabilised value of A$117.5M, if supported by the valuation, implies a margin over TDC of A$16.0M, or 15.8% on cost. The facility of A$74.0M represents 72.9% of TDC. The LVR on the as-stabilised value is 63.0%. Both measures depend on the valuation report and are outside our scope.

5. Contingency

The original contingency of A$2.2M was 5.0% of the construction contract sum. That is within the range we normally expect for a design and construct contract with a fixed price and a substantial basement. A$1.9M was drawn, equal to 86% of the allowance.

Draws matched the line item overruns in Section 4: construction A$1.2M, client direct works A$0.2M, professional fees A$0.1M and extended finance and holding costs A$0.4M. We found no draws for items unrelated to the project. The residual A$0.3M is a sensible provision for defects rectification and final account reconciliation, but it is small. It should not be treated as available for lifecycle works.

6. Programme

Milestone	Date	Comment
Site settlement	15 Nov 2019	A$38.5M
Development consent	10 Dec 2020	Planning Panel
Construction start	6 Apr 2021	Lump sum D&C
Original date for PC	23 Jun 2023	Per contract
Extended date for PC	31 Jul 2023	38 days EOT
Practical completion	21 Aug 2023	21 days late
Lease-up complete	28 Jun 2024	Occupancy above 90%
Defects period ends	21 Aug 2025	Final inspection due

Key programme dates

The contractor was granted 38 days of extension of time for wet weather and for restrictions affecting trades in 2021. The remaining 21 days of delay sit with the contractor. We have seen a liquidated damages calculation but not evidence of set-off or payment, and request this in Section 9. First residents moved in during September 2023. Lease-up was completed on 28 June 2024, about ten months after practical completion, and occupancy has been sustained above 95% since the September 2024 quarter. The 21 day delay therefore had a small effect on finance costs, consistent with the A$0.4M overrun.

7. Defects and building compliance

The defects liability period ends on 21 August 2025. We reviewed the defects register provided by the sponsor. It shows most items as rectified and a short list of open items, none of which is described as structural or affecting fire safety, waterproofing or egress. We have not verified the register on site apart from our sample inspection.

Statutory warranty periods under NSW legislation continue after the contractual defects period. Our understanding, subject to legal advice, is two years for non-major defects and six years for major defects, together with obligations under the NSW building reforms. The lender should confirm that the contractor remains solvent and has the required insurances, and that the sponsor has a process for notifying and tracking warranty claims. The facility documents should require prompt notice of any defect that could materially affect value or income.

8. Forward capital expenditure

The building is two years old, so near-term capital needs should be modest. Operating expenses of A$2.35M should include routine repairs and maintenance, but we have not seen a lifecycle plan. We recommend the sponsor commission a ten year capital replacement plan from an independent consultant. As an interim allowance, we suggest at least A$0.35M per annum, or about A$1,860 per apartment, to be tested against the plan. This is an estimate, not a finding from a detailed asset review.

9. Recommendations and conditions

Subject to the following, we have no objection from a cost and construction perspective to the proposed refinance.

- Sight the executed deed of final settlement confirming a final account of A$45.2M and no unresolved claims.
- Sight the final defects certificate and the release of contract security, with a closed defects register.
- Provide evidence of the liquidated damages calculation and its set-off.
- Provide the final occupation certificate, fire safety certificates and compliance documentation.
- Provide current building insurance and an updated reinstatement cost assessment for the facility term.

- Provide a ten year lifecycle capital plan within 90 days of settlement, and agree a capital reserve based on it.
- Obtain a reliance letter from Brannigan Tait Quantity Surveyors Pty Ltd or confirm that Quillwood Credit Partners may rely on its final cost report.

10. Limitations

This report was prepared for Quillwood Credit Partners and may not be relied on by any other party without our written consent. It reflects information available at 15 August 2025. It does not address valuation, rental income, financial performance or the legal enforceability of contracts. We will update this report once the valuation of 22 August 2025 and the outstanding documents above are available.

Sign-off

Prepared by	Senior Quantity Surveyor, Linley Cost Consultants
Reviewed by	Director, Linley Cost Consultants
Date	15 August 2025